

were able consistently to perform better than the index year after year. The analysis indicates that the net result of the interplay of all performance determinants was simply the performance of leading common stocks, as represented by an index. Whether the performance of investment companies is simply the performance of listed common stocks selected at random cannot be answered by this analysis. The typical performance of investment companies might well be better than the performance of stocks obtained through strictly random selection, although such a result would imply that the stocks represented in the index also do better than stocks selected at random. ...

"It can, then, be concluded with considerable assurance that the entire group of management investment companies proper (as opposed to the sample here studied) failed to perform better than an index of leading common stocks and probably performed somewhat worse than the index over the 1927-1935 period. ...

"With respect to fixed and semifixed investment trusts ... the typical performance over the 1930-1935 period was below the performance of the index, although by a fairly small margin. Virtually all fixed and semifixed trusts invested their assets in common stocks, and consequently their performance was worse in years of declining stock prices and better in years of rising prices than investment companies proper. ... All factors considered, it is doubtful that fixed trusts performed much worse over the period 1930-1935 than the average management investment company proper."

**PERFORMANCE OF SIX LARGEST INVESTMENT COMPANIES
1934-1939 AND 1936-1939**

Company	Asset value per share Dec. 31			Dividend paid		Over-all gain in value, %	
	1933	1935	1939	1934- 1939	1936- 1939	1934- 1939	1936- 1939
Atlas Corp.	\$11.03	\$15.25	\$12.80	\$2.90	\$2.60	42.4	1.0
Dividend Shares	1.21	1.56	1.28	0.54	0.39	50.4	7.1
Incorp. Investors	17.99	20.86	16.34	9.93	6.66	46.0	10.3
Lehman Corp.	26.84	37.10	32.72	9.72	8.00	54.4	9.8
Mass. Invest. Trust	17.70	24.03	20.98	6.39	4.91	54.5	7.9
State St. Investment	65.34	92.30*	71.81	39.30	36.00	70.6	16.8
Standard Statistics 420				(est.)	(est.)		
Stock Index	71.0	96.8	94.3	24.0	18.3	66.6	16.3

* Adjusted.